

LABOR MARKET INTEGRATION OF UKRAINIAN REFUGEES IN EUROPE: EMPLOYMENT GAPS, SKILL MISMATCHES, AND ECONOMIC GAINS



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Cover photograph:

Viktoria (right), an accountant who fled Kyiv in 2022, applied her skills in Poland to establish an accounting firm that now employs staff and serves over 60 local clients.
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Executive summary

This report analyzes labor market integration of Ukrainian refugees aged 20–64 across Europe in mid-2025, based on 6,000+ survey observations. Overall, 57% report being employed (including self-employment and informal work), 22 percentage points below the comparable rate for host-country nationals. Outcomes vary considerably: countries bordering Ukraine tend to record the highest employment rates, while Western European and Nordic countries show markedly lower levels—even after accounting for differences in refugees' profiles. Local-language proficiency is one of the strongest predictors of employment, and longer duration in the host country is also associated with improved labor-market entry.

However, underemployment remains pervasive. Nearly 60% of employed refugees report working below their skill level, and they are almost twice as likely as nationals to be in low-skilled jobs. Among tertiary-educated refugees, over one-third work in low-skilled occupations, compared with 7% of nationals. This skills mismatch is likely the primary driver of the 40% median wage gap between refugees and hosts. Unlike employment rates, underemployment does not materially improve over time once language, sectoral continuity, education, and perceived labor market barriers are considered, indicating the presence of structural barriers that require targeted interventions.

Closing gaps in employment and productivity would generate substantial macroeconomic gains. Estimates suggest that aligning refugee labor-market outcomes with national averages could increase annual GDP growth by up to 0.7 percentage points in some countries, particularly where refugee populations are large, and productivity gaps are sizeable.

Key implications:

Host governments, development, and humanitarian partners should prioritize the following actions:



Maintain a strong focus on raising refugee employment rates, especially where gaps with host-country nationals remain large. Invest in contextualized policies, as key drivers of employment differ by geography. Ensure that programming includes accessible and progressive local language training and support systems that remove practical barriers such as childcare.



Address underemployment as a separate policy priority: Many refugees possess skills that remain underutilized due to mismatches between their qualifications and available roles, limited access to advanced and occupation-specific language training, slow, costly or opaque credential processes, lack of pathways for sectoral continuity and discrimination.



Frame inclusion as an economic strategy as well as a social goal: better employment and better matching can translate into sizable host-country growth benefits.

Background

Four years have now passed since the beginning of the Russian Federation's full-scale invasion of Ukraine, and over 5.3 million Ukrainian refugees remain in Europe¹. Recognizing the strong link between refugee employment and household well-being² as well as the economic benefits for host countries, UNHCR has conducted a survey focusing on jobs. Respondents were recruited via SMS sent to random active Ukrainian phone numbers in roaming in Europe and via Ipsos online panels. The total number of fully completed interviews stands at 6,280. A more detailed description of the methodology is provided in Annex II.

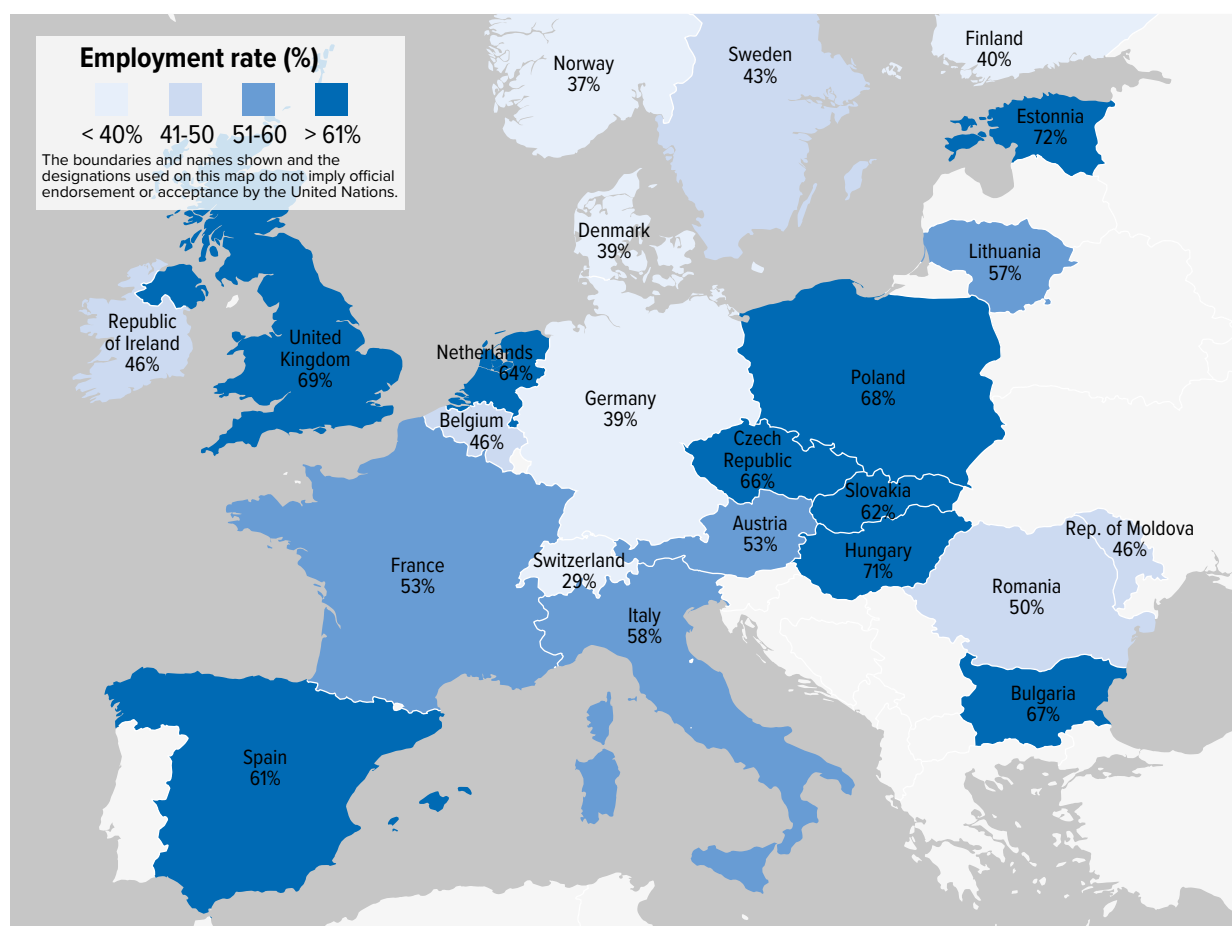
Key findings

Overall, 57% of Ukrainian refugees aged 20-64 are employed in Europe³

Based on 6,817 observations from the survey (including some partially completed responses), the overall employment rate of Ukrainian refugees in Europe stands at 57%⁴. This figure is roughly 22 percentage points below the 2024 weighted average employment rate for nationals in the region.

Highest employment rates that are almost comparable to host levels are demonstrated mostly by Ukraine-neighboring countries: Estonia, Hungary, Poland, Bulgaria, Czechia, and Slovakia, with a notable exception being Moldova. Countries further away geographically with also high employment are the UK, Netherlands, and Spain.

EMPLOYMENT RATES OF UKRAINIAN REFUGEES ACCROSS EUROPE, AT LEAST 50 OBSERVATIONS



Note: Total observation count stands at 6,888 (includes some partially completed surveys)

Source: survey data

¹ [UNHCR Operational Data Portal Ukraine Situation](#)

² At national level, Eurostat established on multiple occasions that the at-risk-of-poverty-or-social-exclusion rate is much higher for unemployed than for employed individuals. Results of analysis for 2024 can be found [here](#). UNHCR also observed in its [interagency studies](#) that living conditions and protection risks are closely linked to poverty, which, in turn, is linked to employment.

³ EEA, Schengen Area, UK, and Moldova

⁴ Three percent of those who are 20-64 (or 5% of those employed) are self-employed or are entrepreneurs

Location matters for employment, but so does knowledge of the local language, length of displacement, age, gender, education, and household composition

To assess how different individual characteristics of Ukrainian refugees may impact their chances of employment, a linear probability model with robust standard errors was constructed⁵. Effects were assumed to be additive⁶ to allow for simultaneous testing of multiple factors.

Overall, the model indicates that age, gender, education level, local language proficiency, household composition, region of origin, time since displacement, and current location all significantly influence employment outcomes. Adults aged 50–64 have approximately a 10 percentage points lower likelihood of securing employment compared with younger adults. Men are 7 percentage points more likely to be employed than women. Holding a vocational or technical degree increases the probability of employment by about 5 percentage points relative to those with only secondary education. More advanced degrees provide only limited additional gains—around 10 percentage points in total—with little differentiation between bachelor’s and master’s degrees. These patterns are consistent with other UNHCR-led studies⁷, which found that advanced degrees do not translate into higher employment rates for Ukrainian refugees as they do for host populations. Household characteristics also play a significant role. Living with young children under age 6 reduces employment probability by 11 percentage points, consistent with other research identifying childcare constraints as an important barrier. Living alone increases the likelihood of employment by 8 percentage points. Unexpectedly, residing with older adults (65+) is associated with a 6 percentage points increase in employment probability, suggesting that most older adults may not require intensive caregiving from household members and may rather provide support with household responsibilities.

Language proficiency emerges as a strong predictor of employment. Respondents reporting at least some knowledge of the local language are 13 percentage points more likely to be employed than those with none or only minimal knowledge. This aligns with broader microdata⁸ identifying language skills as the most frequently cited barrier to finding a job. Notably, more advanced proficiency does not appear to produce additional gains, implying that the types of vacancies available to Ukrainian refugees (mostly low-skilled) may not demand high-level language skills.

Geographical patterns also matter. Nordic countries (Denmark, Finland, Norway, and Sweden) show a strongly negative association with employment probability, at -20 percentage points compared to Eastern Europe. Living in Western European countries similarly reduces employment chances by 14 percentage points. Among other factors, these differences may reflect structural disparities between labor markets, which appear less pronounced in Eastern Europe when compared to pre-2022 Ukraine. Additionally, being from western Ukraine is associated with a 6 percentage points higher likelihood of employment, possibly because individuals from these regions were able to better prepare for displacement – and for entering the labor market – thanks to comparatively greater safety.

Finally, the model highlights a clear association between employment probability and time since arrival. While no significant difference is observed between arrivals within the past six months and within one year, employment likelihood increases by 10 percentage points relative to the baseline for those who arrived 1–2 years ago, by 14 percentage points for 2–3 years ago, and by 20 percentage points for those arriving more than three years ago.

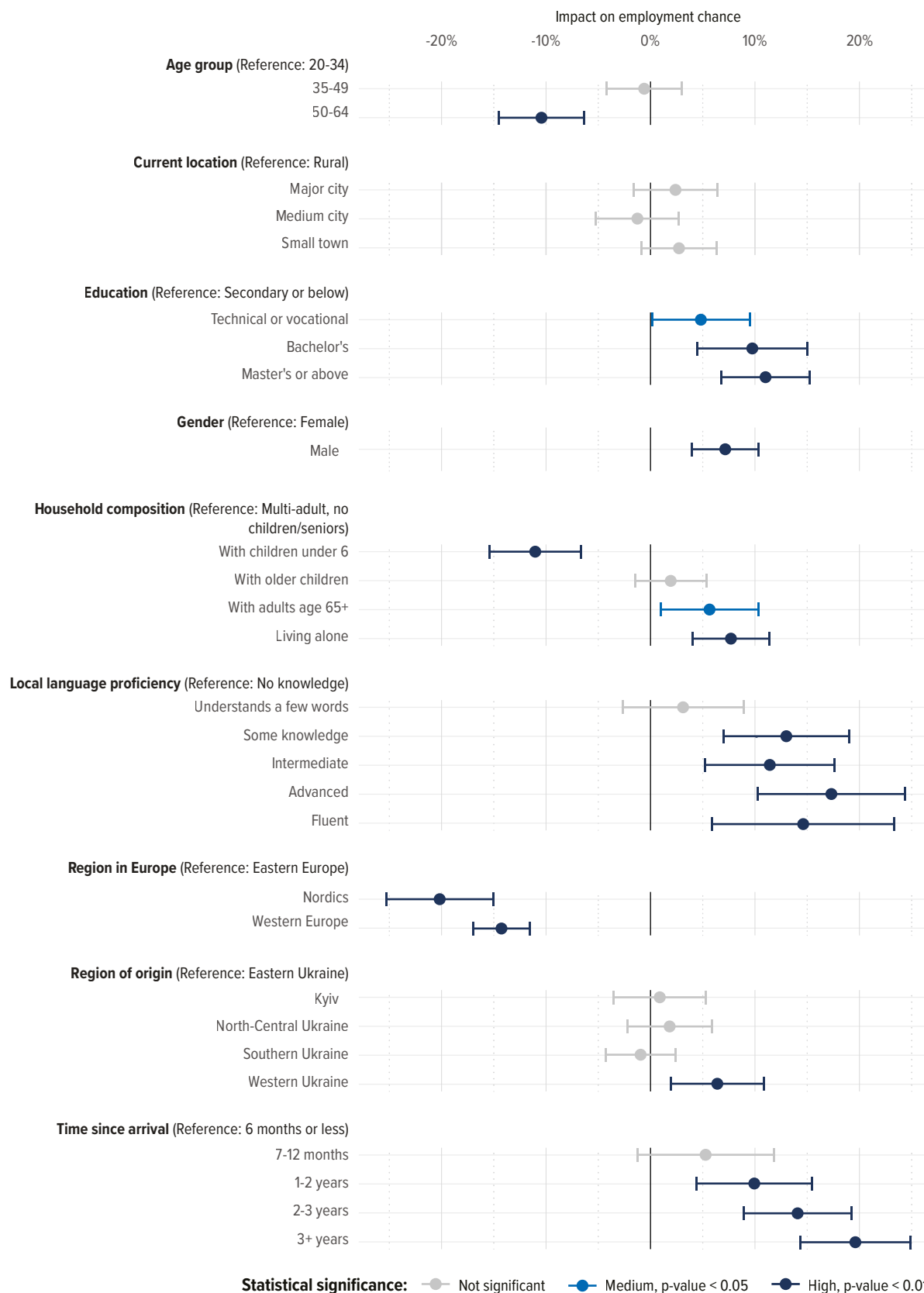
⁵ For the purposes of the model employment was coded as 1 for those employed and as 0 for those unemployed or out of the labor force.

⁶ For example, the model assumes better education improves employment chances of 18–34-year-olds in the same way as of 35–49-year-olds, which is a simplification

⁷ For more details see [High Employment Rates but Low Wages: a Poverty Assessment of Ukrainian Refugees in Neighboring Countries](#)

⁸ Supported practically by every round of UNHCR-led MSNA and SEIS surveys conducted in Ukraine-neighboring countries: <https://data.unhcr.org/en/situations/ukraine>

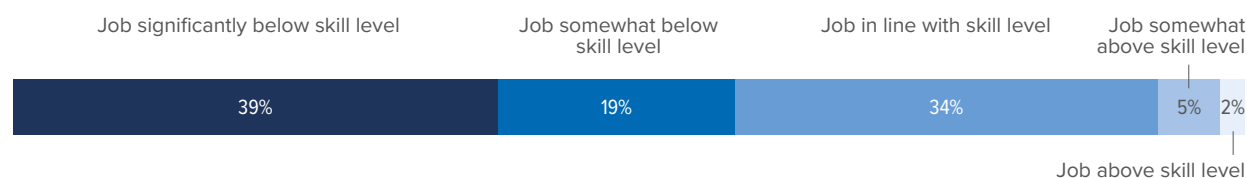
IMPACT OF INDIVIDUAL CHARACTERISTICS ON PROBABILITY OF EMPLOYMENT OF UKRAINIAN REFUGEES



Note: Line lengths represent the 95% confidence interval.
Source: UNHCR estimates, survey data

Almost 60% of those employed are working at jobs below their skill level and the overall median refugee wage is 40% less than that of hosts

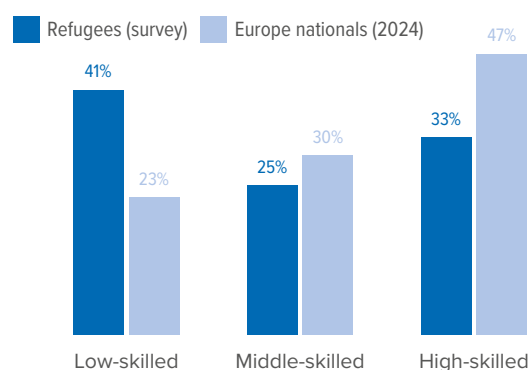
DISTRIBUTION OF EMPLOYMENT OF UKRAINIAN REFUGEES BY SKILL MATCH WITH JOB



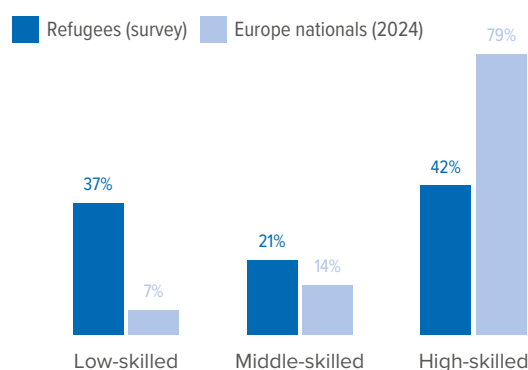
Source: survey data

When asked whether their job matches their level of professional skills or qualifications⁹, 39% of Ukrainian refugee respondents indicated that they are employed significantly below their skill level and another 19% said that they are employed somewhat below their skills. These findings are consistent with the data collected on ISCO-08 occupations, which demonstrates that almost twice as many Ukrainians in Europe are employed in low-skilled jobs: 41% versus 23%¹⁰ for nationals. The gap becomes even more evident, when zooming in on employees with tertiary education, as 37% of Ukrainians in this category are working at low-skilled jobs compared to just 7% of nationals.

SHARE OF EMPLOYEES IN LOW-, MIDDLE-, AND HIGH-SKILLED JOBS: NATIONALS VS REFUGEES



SHARE OF EMPLOYEES WITH TERTIARY EDUCATION WITH LOW-, MIDDLE-, AND HIGH-SKILLED JOBS



Note: Job skill is defined in ISCO occupational categories. Low skill corresponds to jobs in sales and services and un-skilled occupations (ISCO 5 and 9), medium-skilled workers hold jobs as clerks, craft workers, plant and machine operators and assemblers (ISCO 4, 7 and 8), and high-skilled workers are those who have jobs in managerial, professional, technical and associated professional occupations (ISCO 1, 2 and 3).

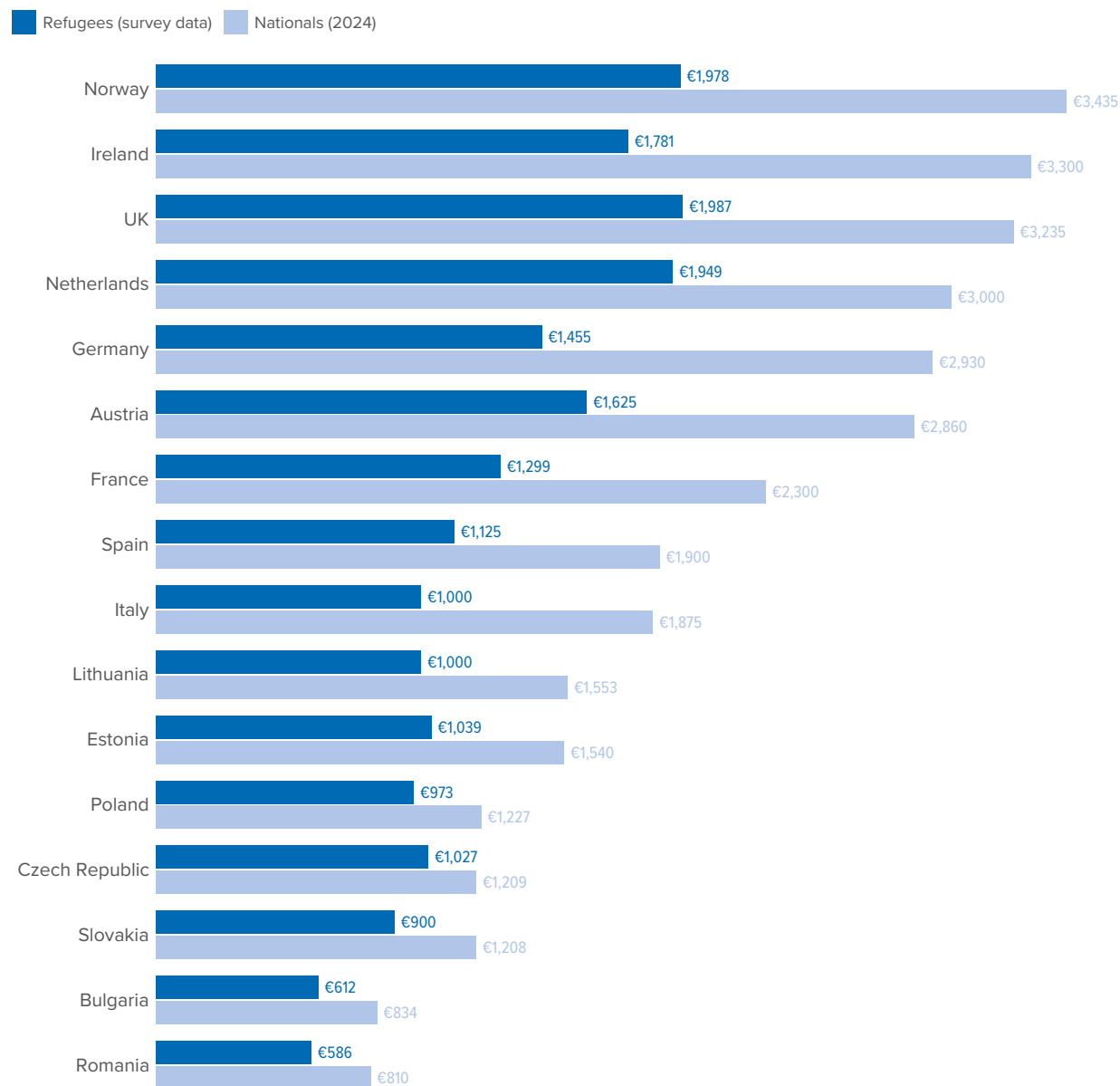
Source: Eurostat, OECD, UK Office for National Statistics, survey data

A lower level of employment on average is also likely to be the primary reason why median salaries of Ukrainian refugees in Europe stand significantly below national levels. According to survey data, UNHCR estimates, and statistics published by the OECD, the weighted average difference¹¹ in medians stands at 40%.

⁹ Respondents were specifically asked to not take into account local language skills

¹⁰ Weighted average with weights that are proportional to number of Ukrainian refugees in each country

¹¹ Differences between medians at country level averaged with the weight being proportional to the number of Ukrainian refugees in each country

MEDIAN NET WAGES: UKRAINAIN REFUGEES VERSUS NATIONALS, EUR PER MONTH

Note: Medians calculated only for countries with 35 or more survey observations on wages. Median wages for nationals were estimated based on means and decile ratios reported by the OECD.

Source: OECD, survey data

Biggest predictors of underemployment: lack of sectoral continuity, weak local language skills, facing discrimination or issues with recognition of qualifications

A linear probability model¹² was also used to estimate the likelihood that respondents secure employment commensurate with their professional skills, using self-reported skill matching¹³ as a proxy for occupational alignment. The results point to several robust and policy-relevant patterns.

The single strongest predictor of underemployment is the absence of sectoral continuity after displacement. Refugees who switch to a different economic sector in the host country are 29 percentage points less likely to obtain a job aligned with their skills compared to those who remain in the same sector as in Ukraine. This finding is intuitive, as many professional competencies are highly sector-specific and do not transfer easily across industries. Respondents who were not employed prior to displacement also face a significantly lower likelihood of skill matched employment—by around 14 percentage points—though the penalty is notably smaller, likely reflecting weaker or less specialized pre-displacement labor market attachment and therefore a lower risk of occupational downgrading.

In contrast to determinants of general employment, where the importance of language proficiency tapers off after being able to understand and use most everyday expressions¹⁴, returns to advanced language skills for skill-matched employment are much stronger. Advanced and fluent speakers are approximately 17 and 20 percentage points more likely, respectively, to secure jobs aligned with their qualifications compared to those with no language knowledge.

Educational attainment, however, exhibits a counterintuitive relationship with skill matching. Holding a Bachelor's degree or higher is associated with a roughly 10 percentage point lower probability of finding employment aligned with one's qualifications compared to individuals with secondary education or below. This pattern likely reflects the occupational downgrading faced by highly educated refugees, who are disproportionately absorbed into lower-skilled segments of the labor market where formal credentials and specialized expertise are underutilized.

Much like for general employment, age is a significant determinant of skilled employment. Belonging to the 35–49 or 50–64 age groups substantially reduces the probability of skill matching relative to the 20–34 cohort. Younger workers may benefit from a broader, less specialized skill set and greater flexibility, making adaptation to new labor markets easier. In addition, the model confirms a persistent gender gap: holding all other factors constant, men are about 14 percentage points more likely than women to secure employment aligned with their professional skills.

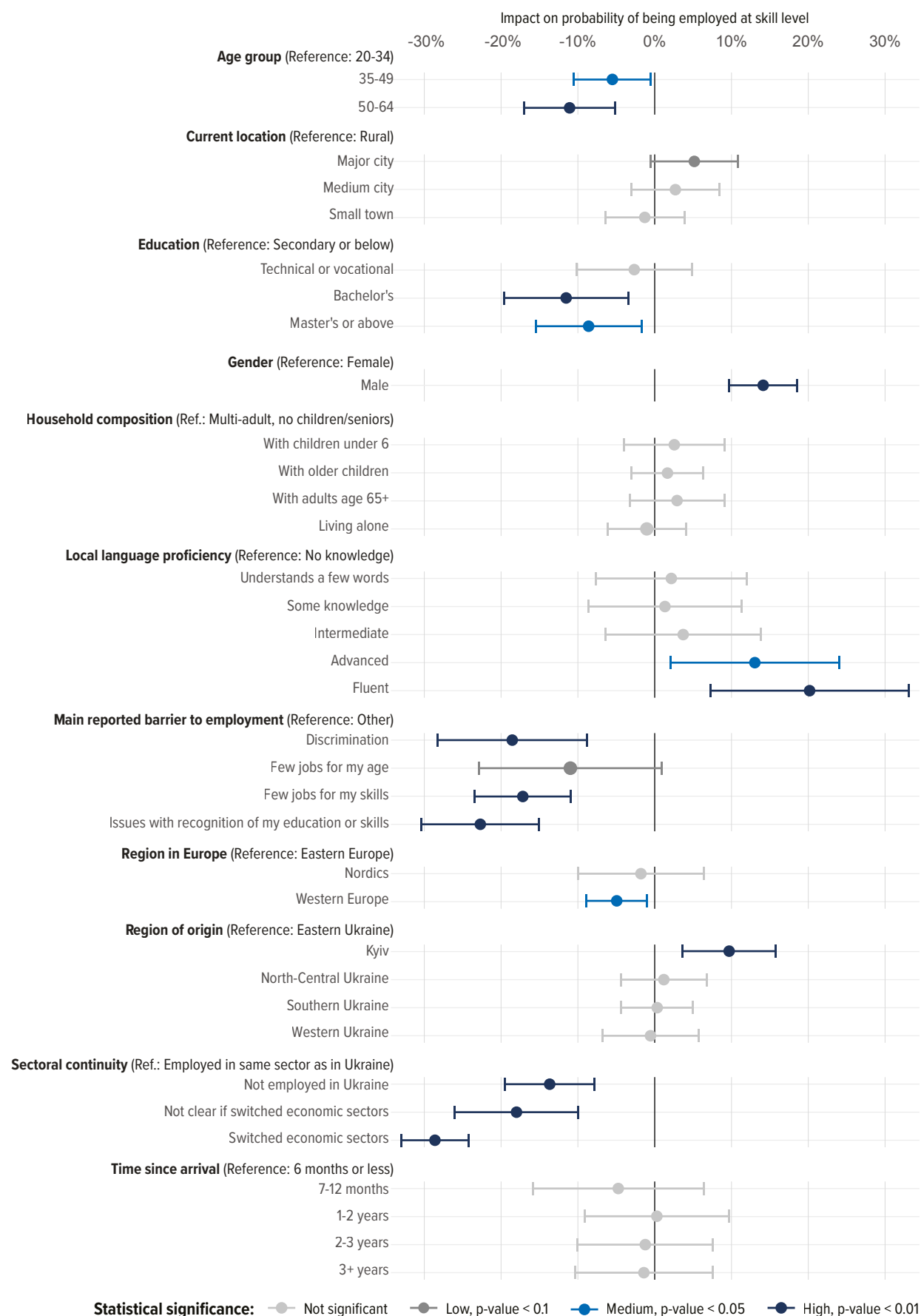
Beyond individual characteristics, the model explicitly captures perceived barriers to labor market integration. Respondents reporting discrimination, a lack of age- or skill-appropriate vacancies, or difficulties with the recognition of foreign qualifications experience an 11 to 19 percentage point reduction in the likelihood of finding skills-appropriate employment.

12 Also with robust standard errors. The exogenous variable for individuals employed at, somewhat above, and significantly above skill level was coded as 1, while for those employed somewhat and significantly below skill level as 0.

13 The exact wording of the question used is: "Would you say that your current main employment matches your professional level of skill or qualifications? Please do not take local language skills into account when responding"

14 Coded as "some knowledge" in the model output

IMPACT OF INDIVIDUAL CHARACTERISTICS ON PROBABILITY EMPLOYMENT AT SKILL LEVEL OF REFUGEES



Note: Line lengths represent the 95% confidence interval. Source: UNHCR estimates, survey data

Skill-mismatching may not resolve with time alone

One key result of multivariate analysis via the linear probability model is that unlike in the case of general employment, the likelihood of working in a job that fits one's qualifications does not improve with time in a statistically significant way when key predictors, such as sectoral continuity, age, gender, local language proficiency, location, and self-reported labor market challenges, are controlled for. This means in essence that while Ukrainian refugees increasingly enter the labor force as time passes, they may not automatically transition into better jobs, highlighting the need for targeted interventions.

Top 10 refugee hosting countries could see GDP growth boosted by up to 0.7 percentage points per year if employment barriers and skills mismatches are addressed

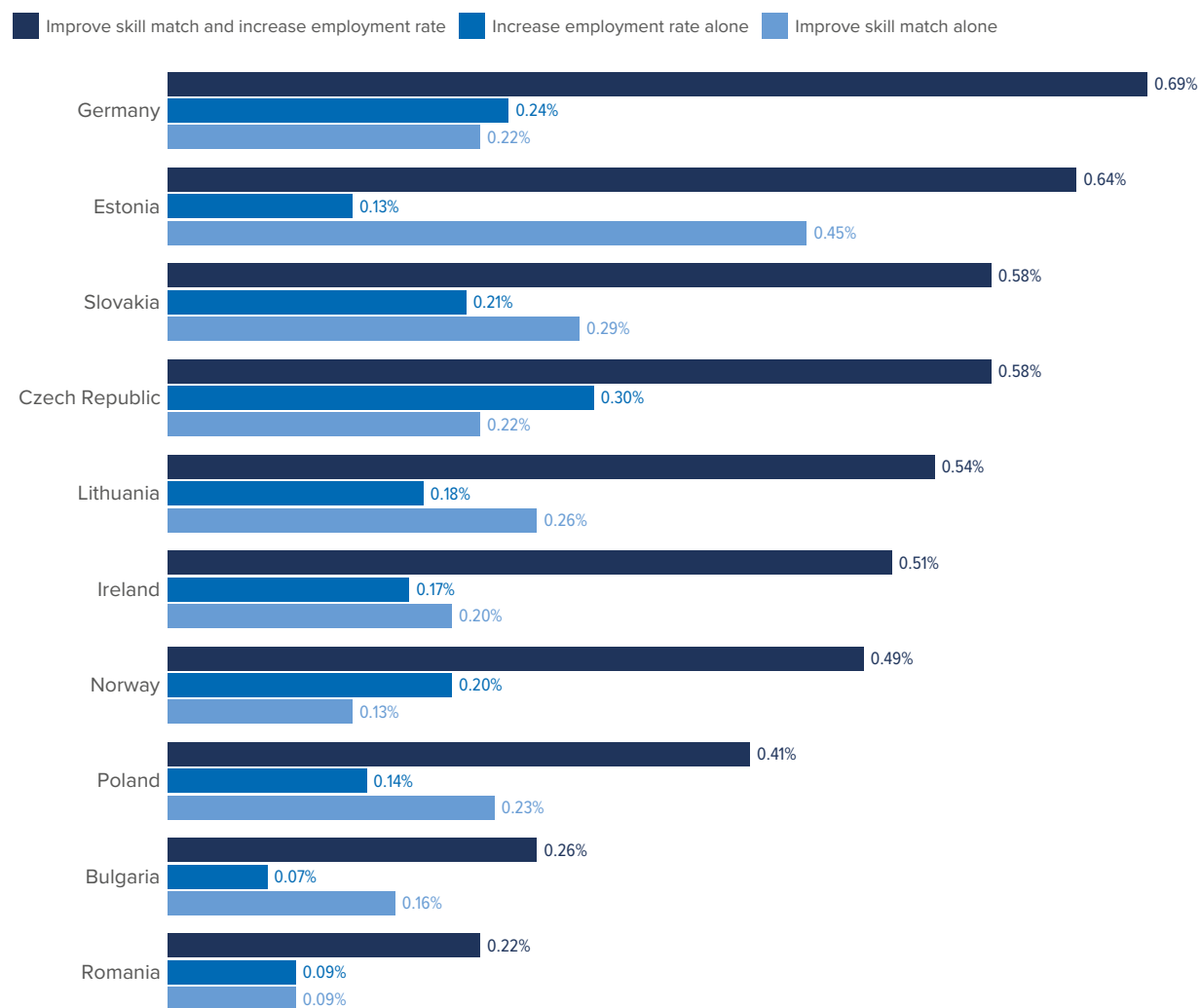
Utilizing neoclassical economic growth theory, it is possible to approximately assess what kind of output gains European economies that hosts a large proportion of Ukrainians could in theory see if policies aimed at full employment and employment at skill were successfully implemented. This calculation is based on a number of important assumptions, the details of which are discussed in Appendix 1, with key among them being proportionality between capacity utilization of refugee labor and the wage gap between refugees and hosts. This means, for example, that for Poland, where median refugee wages were estimated via the survey to be 21% below the national level, the assessment assumes that employed refugees are providing on average 79% of what they could to the total labor supply. To stay conservative, any contributions from capital investment, which are expected to occur at firm level to make the best use of the extra labor¹⁵, are ignored.

The results of such an exercise demonstrate two things. First, that benefits for economic growth are very real, especially for countries where the ratio of the refugee population to the host population is relatively high, and employment rates and skill matching are relatively poor. A good example of this is Germany, which hosts over a million Ukrainian refugees. While much has been done to integrate the refugee population into the labor market, survey data suggest that employment still stands at roughly 39% for the 20-64 age group, which is less than half of what it is for nationals. Wages and data on occupations also point to a significant skill-mismatch: Ukrainians typically have salaries that are 50% lower than nationals, 42% with tertiary education work in low-skilled jobs, and 56% report working somewhat or significantly below their skills and qualifications. Economic growth contribution calculations suggest that removing barriers that prevent Ukrainians from working and finding jobs that match their skills¹⁶ could provide 0.7% of GDP growth per year. This is a very substantial amount, considering that the German economy has been growing at just 0.9% on average (CAGR) in the past 10 years.

The second conclusion is that to reap economic benefits most countries should focus just as much on skills matching of Ukrainians as on their employment status, if not more. In fact, in many contexts, especially in countries neighboring Ukraine, employment rates of refugees are already approaching host levels, meaning that further gains from increasing the labor supply just by helping potential employees transition from unemployment and out of the labor force statuses are relatively limited. In contrast, gains from helping refugees switch to jobs that better match their skills are largely untapped, as in most contexts this problem is more difficult to solve.

¹⁵ In other words, the new equilibrium after labor supply is expanded would very likely also see an increase in capital. Formally, this means that the marginal productivity of capital positively depends on labor.

¹⁶ From the point of view of calculations this translates to the employment rate and salaries rising to host levels

ESTIMATED CONTRIBUTIONS TO ECONOMIC GROWTH IF BARRIERS TO SKILL MATCHING AND EMPLOYMENT WERE TO BE REMOVED, % OF GDP PER YEAR BY COUNTRY

Source: OECD, UNHCR estimates, survey data

Appendix 1: Estimating the contribution of full refugee employment to the economy

The estimate of the impact of increasing employment and employment at skill of Ukrainian refugees on GDP follows a simplified neoclassical approach. Key assumptions are competitive labor and capital markets, that firms maximize profits, and that the economy's production function is characterized by constant returns to scale, monotonicity, and diminishing marginal returns to production factors (i.e. something akin to a Cobb-Douglas).

Let production, a function of capital and labor be characterized as

$$Y = F(K, L)$$

A representative firm in the economy maximizes profit, given by

$$P = F(K, L) - wL - rK,$$

where w and r are wage and rental rate of capital (or required return on capital).

This implies that first derivatives of F with respect to L and K , to which we will refer to as marginal productivities of labor and capital, MPL and MPK , must be zero. It thus follows that

$$\partial F / \partial L = MPL = w \text{ and } \partial F / \partial K = MPK = r$$

Assuming that the market is currently in equilibrium, the relationship between its labor supply L_0 , equilibrium wage w_0 , rental rate of capital r_0 , capital stock K_0 , and output Y_0 , is given by:

$$MPL(K_0, L_0) = w_0 \text{ and } MPK(K_0, L_0) = r_0 \quad (1)$$

$$Y_0 = F(K_0, L_0)$$

Now suppose that labor supply increases exogenously by L_r due to more refugees coming into the workforce or already existing refugees' skills being utilized more fully. Assuming L_r is fully absorbed, the new equilibrium will move to

$L_I = L_0 + L_r$ and some K_I . The difference in output of the economy can then be given by:

$$\Delta Y = F(L_I, K_I) - F(L_0, K_0)$$

Using a first-order expansion implies the following relationship:

$$\Delta Y \approx MPL_I \Delta L + MPK_I \Delta K$$

where $\Delta L = L_I - L_0$ and $\Delta K = K_I - K_0$

As (1) still holds, the above equation can be rewritten as

$$\Delta Y \approx w_I \Delta L + r_I \Delta K$$

where w_I and r_I are new equilibrium wage and rental rate of capital, respectively.

Although $w_I \leq w_0$, since additional labor supply L_r should lead to a lower equilibrium wage, w_I can be assumed to be approximately equal to w_0 if L_r is relatively small compared to L_0 (in other words, this holds if the extra refugee workforce is a relatively small proportion of the total workforce).

Assuming that labor and capital are gross compliments (i.e. MPK positively depends on L) it can be concluded that $r_I \Delta K > 0$, which means that that $w_0 \Delta L$ is a conservative estimate of ΔY .

The practical approximation of w_0 is the mean wage of national workers. Underutilization of refugee skills can be assumed to be proportional to their wage gap – i.e. if refugees are getting paid 40% less than nationals this means that they are utilizing only 60% of their capacity to work. Such an assumption makes sense if refugee education levels are approximately on par with the local population, which is supported by data collected in this survey.

Appendix 2: Data collection methodology and limitations

Data collection methodology

The survey collected data via web-based self-administered surveys, to which respondents were recruited in two ways:

- **SMS invitation:** SMS invitations were sent via Ukrainian mobile providers (Vodafone, Kyivstar, and Lifecell) to users located in roaming in Europe. Numbers were selected at random from each provider database that was pre-filtered based on the following parameters: (1) last event in Ukraine recorded on or after February 1, 2022, (2) carried out events in roaming for at least 14 days in the last 30. Samples were collected in stages and included a Europe-wide one, as well as a few focusing on specific countries, which were later pooled. Initially the survey targeted the sample size from each operator to be proportional to market share in Ukraine, but for technical reasons the sample ended up being heavily dominated by Vodafone subscribers. A total of 5,286 surveys were completed. Data collection was conducted between March and July 2025.
- **Ipsos SA's Ukrainian online panel:** Individuals from Ukraine who fled their country after 24 February 2022 and were hosted in countries across Europe were identified through the panel and invited to participate. The online panel from Ukraine is a market research panel composed of 450,000 individuals. It is not based on random sample, so it is not representative for a general population in strictly theoretical terms. However, the panel is big enough and has similar characteristics as the general population, so that it provides good estimates of population attitudes and behavior. Panelists are generally younger and more urban than the general Ukrainian population. The online panel is subject to a number of quality assurance checks to ensure the quality of the sample. A total of 994 surveys were completed using this approach. Data collection was conducted between January 2025 and February 2025.

The data collected via both recruitment methods was pooled for analysis. In order to diminish biases stemming from unequal selection probabilities, post-stratification weights were applied to calculations. The weights were derived from Eurostat population data on Temporary Protection holders, which is disaggregated by age groups and gender.

Limitations

- **Post-stratification weights** help to minimize but do not eliminate biases stemming from unequal selection probabilities and low response rates. Results should thus be interpreted with caution.
- **Extended data collection period:** the pooled data includes observations from January to July 2025, which means that key indicators (such as employment rates) could have been affected by time differences in the sub-samples.
- **Observational design:** The analysis is based on cross-sectional survey data and identifies associations rather than causal effects. Estimated relationships should therefore be interpreted as correlational, even where they are strong and robust.
- **Self-reported outcomes:** Employment status, skill matching, language proficiency, and perceived labor market barriers are self-reported and may be subject to reporting bias or differences in individual interpretation, particularly across countries.
- **Measurement of skills matching:** Skill alignment is proxied using self-assessed job–qualification matching and occupational classifications. While informative, these measures may not fully capture task-level skill use or informal credential recognition.
- **Unobserved heterogeneity:** Although the models control for a number of individual, household, and contextual factors, some relevant dimensions—such as motivation, pre-displacement experience, firm-level hiring practices, or local labor demand conditions—cannot be fully observed.
- **Macroeconomic estimates:** The GDP impact estimates rely on stylized assumptions about productivity gaps and labor utilization and abstract from potential general-equilibrium effects, capital adjustment, or fiscal costs. They should be interpreted as indicative of orders of magnitude only.

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